

# BIG TECH REVENUES

THE TECH GIANTS' INDIA REVENUES ARE BOOMING. BUT WITH THE EQUALISATION LEVY GONE, TAXING DIGITAL PROFITS HAS BECOME EVEN MORE COMPLICATED

BY KRISHNA GOPALAN & SURABHI

**I**N BUSINESS, **NOTHING** can convey the levels of dominance as clearly as hard numbers. Think about it. Amazon has at least 30% of India's e-commerce business (Walmart-owned Flipkart leads the pack), while Meta has over one billion users across Facebook, WhatsApp and Instagram. If you look at Google, its search engine share is over 97%, as per Statcounter Global Stats. As a corollary, these companies command a large share of the consumer wallet and

attention span, drawing more money into the overall digital advertising funnel.

A FICCI-EY report on the media and entertainment sector estimates that digital advertising revenue, excluding subscriptions, will be close to ₹1.4 lakh crore in 2028.

These big numbers, in fact, are at the heart of a larger debate on digital services tax in India and in many parts of the world.

## BATTLE ROYALE

In late June this year, US President Donald Trump, through a social

media post, threatened a 100% tax on imports from any country imposing a digital services tax on American technology companies. It marked another round of escalation in a complex and challenging global trade war. Trump went on to say that "this tariff will supersede trade deals made with the country, whether implemented, signed, or not."

The issue of digital services tax has been controversial for some time. Put simply, most Big Tech companies are based in the US and operate in a way that often leaves their main income streams,

## THE CHALLENGE

US President Donald Trump threatened a 100% tax on imports, thereby taxing digital services

Big Tech operates in a way that leaves main income streams outside the tax net in other countries

Tax authorities everywhere, including in India, have struggled with this